Whiskey & Cheddar: Ingredient Branding at the Caesan Cheese Cooperative

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Introduction Summary

Caesan Cheese Cooperative, founded in Wisconsin in the early 1900s, is a farmer-owned cooperative known for producing natural and artisan cheddars that emphasize authenticity, quality, and tradition. By 2018, Caesan had grown to nearly 300 family farms and generated over $50 million in annual revenue, with most sales coming through retail distributors. Despite its success, the cooperative faced challenges including low brand awareness, pressure from distributors to cut prices, and growing competition in the crowded U.S. cheese market. In 2019, Caesan's leadership considered a proposal to launch a whiskey-branded cheddar in partnership with Pernod Ricard USA, raising questions about whether this licensing deal would strengthen the cooperative or compromise its independence and profitability.

Primary Issue

The main problem facing Caesan Cheese Cooperative is deciding whether or not to launch a new whiskey-branded artisan cheddar through a licensing agreement with Pernod Ricard USA (PR-U), the distributor of Jameson Irish Whiskey. This choice is crucial because it will shape the cooperative's strategic direction and financial future. On one hand, the licensing agreement could help Caesan quickly boost sales and expand brand awareness by linking its cheeses to a world-renowned brand with strong consumer loyalty. With Jameson holding a 78% market share in the Irish whiskey category and growing popularity among younger, metropolitan consumers, the partnership has the potential to borrow brand equity and allow Caesan to reach new buyers who might not otherwise notice its products. On the other hand, the licensing deal presents significant risks. It would reduce Caesan's independence as a farmer-owned cooperative, lower its profit margins by requiring $0.25 in royalties per unit, and tie its brand image to an outside partner, which could overshadow Caesan's own identity of authenticity and tradition. The decision is further complicated by a divided board of directors: some members view the partnership as an outstanding opportunity to scale sales quickly, while others believe Caesan should focus on developing and marketing its own products to maintain control and protect long-term sustainability. This conflict highlights the uncertainty Caesan faces in choosing the best strategic path forward.

Secondary Issue

Caesan's position in the market is complicated by a number of secondary issues in addition to the main choice. First, just 25% of consumers who responded to the survey were aware of the cooperative's brand, but national competitors like Cracker Barrel and Sargento were recognized by 45–55% of respondents. It is challenging to stand out in a cheese market that is getting more and more crowded because of this lack of exposure. Second, in order to stay competitive, food wholesalers are pressuring Caesan to lower the wholesale price of its natural cheeses by $0.50

per unit, which would cut already slim margins. Third, only 2% of the cooperative's sales come from direct-to-consumer channels, while 98% come from supermarkets and distributors, indicating a strong reliance on retail channels. Because of this dependence, Caesan is more susceptible to retailer requests and has less power to regulate prices or establish direct customer relationships. Fourth, a cooperative of its size would have to spend $1.8 million on marketing if it wanted to independently introduce a new whiskey cheddar. By mandating royalty payments of $0.25 per unit, the license agreement will reduce profits even though working with PR-U would reduce this cost to $1.4 million. Last but not least, internal board member disagreements create uncertainty. While some board members think that PR-U's brand equity should be used to swiftly increase sales, others are concerned about long-term hazards and the degradation of Caesan's historic, farmer-owned reputation.

Alternative Actions

There are three alternative strategies or actions we could use. One strategic option is to launch a Jameson-themed whiskey cheddar, positioned as a premium specialty cheese. The product would highlight its unique flavor profile by emphasizing whiskey barrel notes, supported by upscale packaging such as seven-ounce wax-wrapped bars prominently featuring the Jameson logo. The cheese would be placed in the specialty section of supermarkets, retailing at $7.49 per unit with a wholesale price of $4.75. To encourage trial and retailer support, Caesan would provide coupons costing $0.07 per unit and trade allowances of $0.13 per unit. Distributors would receive 20 percent of sales, while a $0.25 royalty per bar would be paid to Jameson as part of the licensing agreement.

The second alternative is to launch a generic whiskey cheddar without the Jameson branding. This product would use the same recipe and packaging format but without the added equity of the Jameson name. Priced slightly lower at $6.99 at retail and $4.45 wholesale, the generic version would also rely on couponing and trade allowances, with coupon costs at $0.09 per unit and trade allowances at $0.15 per unit. As with the branded version, distributors would receive 20 percent of sales, but no royalty payments would be required, allowing Caesan to retain more control over margins and brand identity.

Another alternative path for Caesan would be to launch the whiskey-infused cheddar as a limited-time, seasonal product rather than committing to it as a permanent line extension. This would allow Caesan to test consumer demand while minimizing long-term risk. By aligning with occasions such as St. Patrick’s Day or the holidays, the product could generate buzz, urgency, and trial without requiring a permanent commitment. Quantitatively, the break-even threshold under a Jameson partnership drops to about 202,000 units and $961,000 in revenue, compared to more than 809,000 units and nearly $3.9 million for a full two-year rollout. This lower sales hurdle makes the strategy more achievable while capping potential losses if demand underperforms. In addition, framing the launch as a limited edition preserves Caesan’s

cooperative identity by signaling experimentation rather than permanent dependence on licensing.

Qualitative Discussion

Caesan Cheese Cooperative faces two primary strategic alternatives as it considers launching its new whiskey-infused cheddar line, with a third hybrid approach emerging as a potential middle ground. The first option is to move forward with a licensing agreement with Pernod Ricard USA, featuring Jameson Irish Whiskey as a branded ingredient. This strategy presents a strong opportunity for rapid market differentiation and accelerated brand awareness, especially given Caesan's current low recognition levels compared to national competitors. By leveraging Jameson's reputation and authenticity, Caesan could appeal directly to millennial and metropolitan consumers seeking artisanal, experiential products. The licensing partnership also reduces marketing costs from $1.8 million to $1.4 million, while offering access to Pernod Ricard's promotional platforms and distribution networks. This alignment could enable faster shelf placement and early trial rates, helping Caesan achieve significant sales traction. However, this path entails notable trade-offs. The $0.25 per-unit royalty would compress already slim margins, while heavy association with Jameson may overshadow Caesan's cooperative identity rooted in tradition and authenticity. Furthermore, the reliance on an external brand introduces strategic dependency and limits creative control over messaging and future product extensions.

The second alternative is for Caesan to launch independently using a generic whiskey ingredient without entering into a licensing arrangement. This approach preserves full control over brand positioning and storytelling, ensuring the cooperative's artisan image and farmer-owned values remain central. By avoiding royalties, Caesan would maintain higher per-unit margins, reinforcing financial sustainability over the long term. Moreover, success achieved under Caesan's own branding would strengthen organic brand equity, reducing the risk of being defined by a partner brand. Yet, this strategy demands greater upfront investment—an estimated $1.8 million in marketing—and carries the risk of slower market adoption due to limited awareness and weaker shelf appeal. The burden of building recognition from scratch would fall entirely on Caesan's internal marketing resources, posing significant financial risk if initial sales underperform.

Marketing Initiative: Strengths and Weaknesses

Strength: Co-branded packaging that merges Jameson with Caesan's "Farmer-Owned Since 1905" story, and seasonal occasions (St. Patrick's Day, holidays) that concentrate demand and trial.

Weaknesses: Seasonal demand volatility and very little specialty case at retail.

Recommendation

Caesan should launch the whiskey-infused cheddar under the Jameson brand as the primary strategy. The licensed option demonstrates stronger product-market fit, with higher consumer purchase intent (17% vs. 10% for generic), lower fixed marketing costs ($1.4M vs. $1.8M), and a smaller break-even threshold of about 810,000 units compared to more than 1 million for a generic launch. While neither path breaks even at $2M in projected sales, losses are lower under the licensing option (≈$672K vs. ≈$1.03M), making it the less risky financial choice.To protect its long-term independence, Caesan must treat the partnership as a bridge strategy rather than a permanent shift. Packaging and promotions should co-brand Jameson with Caesan's "Farmer-Owned Since 1905" identity to ensure that the cooperative's authenticity and tradition remain central. Over time, consumer trial through the whiskey cheddar can spill over into Caesan's broader product line, raising awareness of its core brand. Finally, Caesan should consider launching the whiskey cheddar as a seasonal or limited-time product tied to occasions such as St. Patrick's Day or the holidays. This approach lowers the sales hurdle dramatically, with break-even at approximately 202,000 units and $961,000 in revenue for a seasonal Jameson launch, compared to more than 809,000 units and nearly $3.9 million for a full two-year rollout. A seasonal release caps financial risk, generates consumer excitement, and allows Caesan to test demand before committing to a permanent line.

Implementation of Recommendation

What:

The recommendation is to launch Caesar's whiskey cheddar through the licensing agreement with Pernod Ricard USA (PR-U), specifically using the Jameson® Irish Whiskey brand. This approach leverages Jameson's strong brand equity, enabling Caesar to differentiate its artisan cheddar and appeal to both "foodie" and "socially conscious" consumer segments.

Where:

The launch should occur nationwide in U.S. supermarkets, primarily in the specialty cheese sections, as research shows consumers associate this placement with premium quality. Online sales can supplement distribution, but the primary emphasis should be on retail placement through Caesar's existing distributor network.

Who:

Deidra Kelly (VP of Marketing and Product Development) will oversee the implementation, supported by Caesar's marketing team and PR-U's communications division. Food distributors and retail partners will handle placement, while PR-U provides media support. Farmers and cheesemakers within the cooperative will continue production.

When:

The launch is planned for January 2020, giving sufficient time for marketing buildup. A three-month trial period should be initiated with supermarkets, with performance reviewed quarterly. Within the first two years, the goal is to hit the $2 million sales target outlined in the financial projections.

How (4Ps):

- **Product:** Seven-ounce wax-wrapped bars of Jameson® Irish Whiskey Artisan Cheddar, branded with both Caesar and Jameson logos, emphasizing authenticity, quality, and tradition.

- **Price:** MSRP set at $7.49, competitive with other premium artisan cheeses and consistent with A/B testing results. Wholesale price: $4.75, with PR-U earning $0.25 royalty per unit.

- **Place:** Distribution through retail supermarkets' specialty cheese sections, supported by food distributors. Online direct-to-consumer sales can act as a supplemental channel.

- **Promotion:** Joint marketing campaigns with PR-U, including digital/social media, in-store sampling, trade shows, and point-of-sale advertising. The Jameson logo provides immediate recognition and credibility.

Risks and Controls

A major risk lies in brand fit. Caesar is a cooperative emphasizing natural, family-farmed authenticity, while Jameson represents alcohol, nightlife, and indulgence. If not carefully marketed, this partnership could confuse consumers or alienate Caesar's "socially conscious" buyers, who may perceive alcohol branding as inconsistent with Caesar's wholesome image.

To control this risk, Caesar should emphasize shared values: tradition, craftsmanship, and premium quality. Marketing must highlight that Jameson's role is not about alcohol consumption but about enhancing flavor and celebrating heritage. Transparency in messaging such as stressing Caesar's artisanal process and small-batch authenticity will reassure loyal consumers. Regular consumer feedback and brand perception surveys should be implemented post-launch to monitor alignment and make adjustments.

Appendix A :Quantitative Support (Alternatives)

Per-unit economics (7-oz bar):

Licensed (Jameson): wholesale $4.75; variable costs raw $0.561 + production $1.060 + distribution $0.95 + coupons $0.07 + trade $0.13 + royalty $0.25 = $3.021; contribution = $1.729 per unit.

Generic whiskey cheddar: wholesale $4.45; variable costs raw $0.561 + production $1.060 + distribution $0.89 + coupons $0.09 + trade $0.15 = $2.751; contribution = $1.699 per unit.

Break-even (two-year marketing budgets as fixed costs):

Licensed (Jameson): fixed $1,400,000 / $1.729 = 809,717 units; revenue approximately $3,846,154.

Generic: fixed $1,800,000 / $1.699 = 1,059,447 units; revenue approximately $4,714,538.

Two-year sales goal comparison:

Target sales revenue = $2,000,000. Licensed units at target = 421,053; generic units at target = 449,438.

Profit at $2M revenue: Licensed ≈ $-672,000; Generic ≈ $-1,036,404. Neither path breaks even at $2M; the licensed option requires fewer units and lower revenue to cover fixed costs.

Appendix B: Calculations (Cost of Goods Sold, Contributions, Break-Even, and Two-Year Revenue)

Per-unit variable costs – Licensed (Jameson): raw $0.561 + production $1.060 + distribution $0.95 + coupons $0.07 + trade $0.13 + royalty $0.25 = $3.021.

Per-unit variable costs – Generic whiskey cheddar: raw $0.561 + production $1.060 + distribution $0.89 + coupons $0.09 + trade $0.15 = $2.751.

Contribution per unit – Licensed: $1.729; Generic: $1.699.

Break-even units – Licensed: 809,717; Generic: 1,059,447.

Break-even revenue – Licensed: $3,846,154; Generic: $4,714,538.

Two-year sales target units at $2M revenue – Licensed: 421,053; Generic: 449,438.

Profit at $2M revenue – Licensed: $-672,000; Generic: $-1,036,404.

Appendix C: Quantitative support for the seasonal/limited-time launch idea:

Licensed (Jameson):
Fixed seasonal marketing costs (¼ of $1.4M) = $350,000

Break-even = approximately 202,429 units

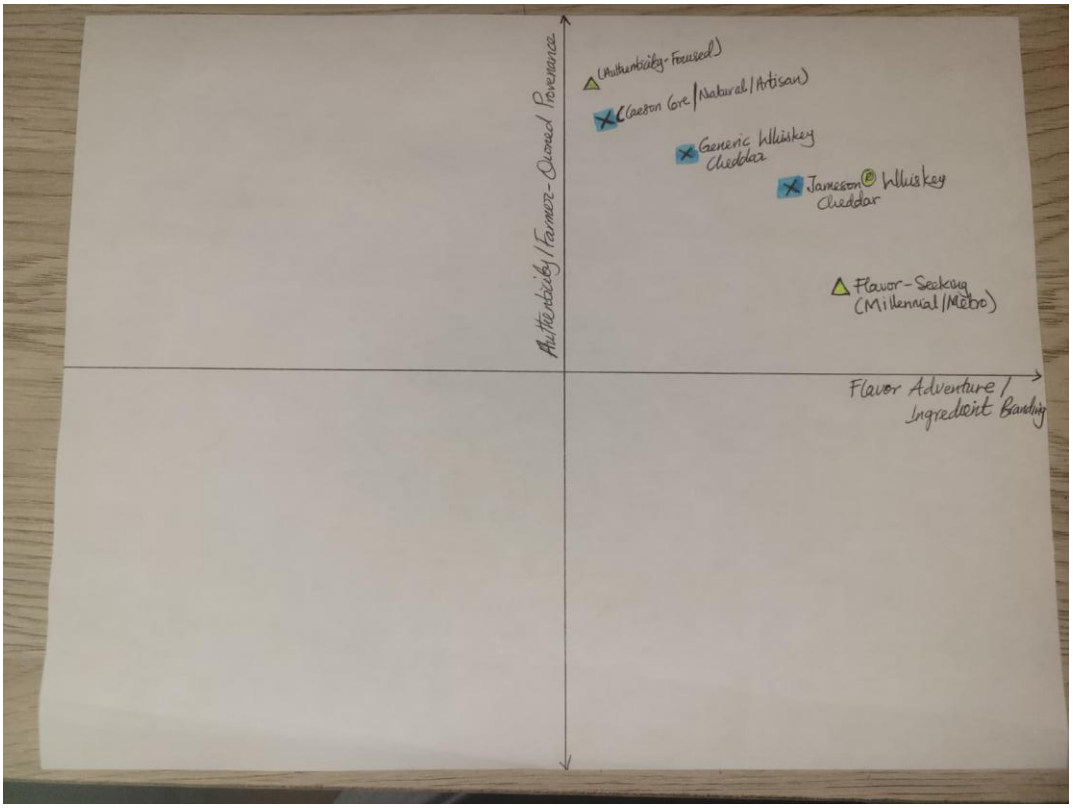
Break-even revenue = approximately $961,538

Generic:
Fixed seasonal marketing costs (¼ of $1.8M) = $450,000

Break-even = approximately 264,862 units

Break-even revenue = approximately $1,178,634

Perceptual Map: Caesan Offerings and Likely Shopper Leaning



Reference

Quelch, J. A., & Hartman, K. B. (2019). Whiskey and Cheddar: Ingredient Branding at the Caesan Cheese Cooperative (HBS Case No. 9-919-521). Boston, MA: Harvard Business School Publishing.

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